

PREFACE

Decentralized finance (or DeFi) has always been a big part of what I hoped to see people build on Ethereum. Ideas around user-issued assets, stablecoins, prediction markets, decentralized exchanges, and much more had already been at the top of my mind as well as the minds of many others trying to build the next stage of blockchain technology in those special early days of 2013–14. But instead of creating a limited platform targeting a set of known existing use cases, as many others did, Ethereum introduced general-purpose programmability, allowing blockchain-based contracts that can hold digital assets and transfer them according to pre-defined rules, and even support applications with components that are not financial at all.

People in the Ethereum community started working on applications such as on-chain stablecoins, prediction markets, and exchanges almost immediately, but only after more than five years did the ecosystem truly start to mature. I believe that DeFi will create a new, easy-to-use and globally